

I will continue to monitor the business on a quarterly basis and make any necessary adjustments to intrinsic value if there are significant developments. As I am penning this paragraph on June 19, 2006, USAP's stock trades at \$25.65 per share. The market is concerned about weakening fundamentals for steel companies. USAP is not a typical steel company. While big industry trends do affect it, it is in an insulated niche. Its aerospace and energy industry customers are having their best years ever. USAP's business prospects have never looked better. Their backlog has never been stronger. Their input cost of raw materials has dropped significantly in recent weeks while they've announced more price increases to take effect in July 2006. Both the vacuum arc furnaces will be jamming in full gear by January 2007 creating \$1 per share in additional earnings just by themselves. All in all, as they report record earnings in the coming quarters, I fully expect the stock to rise. As it gets over 90 percent of intrinsic value, Pabrai Funds will resume its selling.

When the stock was at \$5 in 2003, all Pabrai Funds hoped to accomplish after two to three years was simply break-even or hopefully exit with a small loss. The "holding losers for at least two to three years" rule prohibited a sale at that point of maximum pessimism for USAP. The chakravyuh traversal rules helped transform USAP from an ill-timed, ill-fated losing investment into one that has delivered a very acceptable return on invested capital.

After three years, if the investment is still underwater, the cause is virtually always a misjudgment on the intrinsic value of the business or its critical value drivers. It could also be because intrinsic value has indeed declined over the years. Don't hesitate to take a realized loss once three years have passed. Such losses are your best teachers to becoming a better investor. While it is always best to learn vicariously from the mistakes of others, the lessons that really stick are ones we've stumbled through ourselves. Over time, learning from your stumbles, you'll begin to notice a diminishing number of unsuccessful chakravyuh attempts.

EXITING THE CHAKRAVYUH